INITIAL DECISION RECORD

Submission deadline: 22 October 2026 | Historical decision date and information cutoff: 31 December 2022

DECISION

Reserve sufficient capital for the irrevocable 2024 and 2027 programme payments, then invest the residual growth budget in Utility_SingleIndex to pursue the Foundation's 2030 real-value objective. The policy uses only information available through 2022-12-31; later observations do not revise this initial decision.

Commitment	Due date	Payment	Funding asset	Initial cost
Scholarship programme	31 Dec 2024	USD 2,400,000	Beta	USD 2,214,672.00
Learning centre	31 Dec 2027	USD 3,600,000	Delta	USD 3,021,150.64

Beta is a two-year zero-coupon maturity match. Delta is a five-year coupon bond; interim coupons are ring-fenced and assumed to earn 0% before the 2027 payment. Liability reserve: USD 5,235,822.64. Growth budget before trading costs: USD 6,764,177.36.

INFORMATION SET AND CANDIDATE UNIVERSE

Estimation window: January 2015-December 2022; after alignment, 95 common monthly observations from February 2015 through December 2022. Candidate universe: 10 U.S. common stocks across 7 sectors (AAPL, MSFT, JPM, JNJ, PG, HD, CAT, CVX, KO, WMT) and two U.S. equity ETFs (SPY (Broad U.S. large-cap equity ETF); IWM (U.S. small-cap equity ETF)). SPY is the simple investable growth benchmark. Dated source evidence supports decision-date eligibility.

GROWTH DECISION AND RISK COMPARISON

Recommend Utility_SingleIndex using CAPM-style expected returns, single-index covariance, constrained long-only mean-variance utility and base risk aversion A=4. Under a common A=4 evaluation lens, the recommended portfolio has expected return 11.01%, annual volatility 16.30% and utility 0.0570. The credible rejected alternative, Eta_Historical_MaxSharpe, has utility 0.0487. Expected return is an assumption, not a promised compound return.

Risk-aversion sensitivity: single-index model

A	Expected return	Volatility	Utility
2	12.48%	18.96%	0.0888
4	**11.01%**	**16.30%**	**0.0570**
6	8.91%	13.35%	0.0356
8	8.01%	12.32%	0.0194

A=2, 4, 6 and 8 are compared under both covariance models in the risk-sensitivity analysis. Increasing A changes the risk-return trade-off and optimized weights; A=4 is the selected base preference, not an inference from the trustee's loss statement.

MATERIAL ASSUMPTIONS AND GOVERNANCE

2030 objective: USD 8,000,000 in December-2022 dollars; baseline inflation 2.50% annually; nominal target USD 9,747,223.18 = real target x (1 + inflation)^8. This is a planning target, not a guarantee.

Growth sleeve: long-only and fully invested; common-stock cap 15%; ETF cap 35%; borrowing, short selling and derivatives prohibited. Initial one-way equity trading cost 0.10%.

The trustee's concern about losses approaching 15% specifies no horizon or metric; it is treated as a diagnostic rather than a hard optimization constraint.

Evaluation: January 2023-December 2025, comparing the frozen growth strategy with SPY as the growth benchmark. Rebalance annually on 31 December after any scheduled liability payment, back to original 2022 growth target weights; do not re-estimate or re-optimize with evaluation-period data.

INITIAL CAPITAL ALLOCATION

Frozen 2022 policy | Dollar amounts from the full-allocation schedule

Growth weights are shown as a share of growth capital invested; fund weights include reserves and trading cost.

Initial capital: USD 12,000,000 | Liability reserve: USD 5,235,822.64 | Growth purchases: USD 6,757,419.94

Sleeve	Security / use	USD	% of fund	% growth sleeve	Purpose
2024 liability	Beta	2,214,672.00	18.46%	-	Fund 2024 scholarship payment
2027 liability	Delta	3,021,150.64	25.18%	-	Fund 2027 learning-centre payment
Growth	AAPL	206,871.93	1.72%	3.06%	Pursue 2030 real-value objective
Growth	MSFT	267,236.61	2.23%	3.95%	Pursue 2030 real-value objective
Growth	JPM	443,100.42	3.69%	6.56%	Pursue 2030 real-value objective
Growth	JNJ	363,596.29	3.03%	5.38%	Pursue 2030 real-value objective
Growth	PG	140,738.42	1.17%	2.08%	Pursue 2030 real-value objective
Growth	HD	294,255.15	2.45%	4.35%	Pursue 2030 real-value objective
Growth	CAT	155,144.96	1.29%	2.30%	Pursue 2030 real-value objective
Growth	CVX	202,426.59	1.69%	3.00%	Pursue 2030 real-value objective
Growth	KO	160,319.39	1.34%	2.37%	Pursue 2030 real-value objective
Growth	WMT	236,397.85	1.97%	3.50%	Pursue 2030 real-value objective
Growth	SPY	2,365,096.98	19.71%	35.00%	Pursue 2030 real-value objective
Growth	IWM	1,922,235.33	16.02%	28.45%	Pursue 2030 real-value objective
Implementation	Initial trading cost	6,757.42	0.06%	-	Initial growth-purchase cost
TOTAL	**All uses**	**12,000,000.00**	**100.00%**	**-**	**Reconciles to initial capital**

ALLOCATION NOTES

The liability assets are set aside before allocating the growth sleeve. Interim Delta coupons are ring-fenced under the base 0% reinvestment assumption. The listed equity and ETF purchases sum to USD 6,757,419.94; the separate initial trading-cost allowance is USD 6,757.42.

This record states the initial decision and its predeclared evaluation rule. Any later trustee mandate or policy revision must be documented separately and compared with this frozen baseline.